About this PDF

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Covers 9 of 9 syllabus sub-topics of this unit.

Nature and purpose of planning

Definition

Planning is deciding in advance what to do, how to do it, where to do it and who will do it. It involves selecting mission, purpose and objectives and the actions to achieve them.

Explanation

Planning bridges the gap between the present and the future desired status, providing a forward-looking approach to organizations. It is an important step in the management function, requiring decision making and helping managers to design an effective environment for performance. Planning includes elements such as vision, mission, objectives, strategies, policies and procedures, which together guide actions toward desired goals.

Example

For instance, when an organization intends to grow in a particular market, a strategic plan outlines the scope of venturing, the allocation of resources such as budget and manpower, the choice of competitive strategy (cost or innovation), and the core strengths that will enable competitiveness in that market.

Key points

- Planning is the first and primary step in management, deciding what, how, where, and who.
- It bridges present and future, providing a forward-looking approach.
- Planning incorporates vision, mission, objectives, strategies, policies and procedures to guide actions.
- Strategic plans set out decisions about resource allocation, priorities and action steps to achieve strategic goals.

Planning process

Definition

Planning is the first and primary managerial function that bridges the gap between the present and the future. Koontz and Donnell define planning as deciding in advance what to do, how to do it, where to do it and who will do it.

Explanation

Planning is an intellectual process that helps an organization lay down objectives and develop various courses of action. It focuses on achieving objectives and is pervasive at all managerial levels, from lower to top management. Planning is a continuous, forward-looking process that involves decision making and is a mental exercise. It gives direction to the organization, reduces uncertainty, avoids overlapping and wasteful activities, and optimally utilizes resources. Planning and controlling are interlinked; regular checks and comparisons of results with standards provide a control step and feedback for corrective action. In a dynamic environment, plans must be flexible, continuously evaluated, and adjusted based on environmental scanning. Environmental scanning and forecasting are essential components of the planning process to anticipate and respond to changes.

Key points

- Planning is the first and primary managerial function that bridges present and future.
- It is a continuous, forward-looking decision-making process that sets objectives and develops courses of action.
- Planning must be flexible and responsive to environmental changes, requiring ongoing evaluation and adjustment.
- Planning and controlling are interlinked; monitoring results against standards provides feedback for corrective action.
- Environmental scanning and forecasting are essential components of planning to anticipate and respond to changes.

Types of planning

Definition

Planning is deciding in advance what to do, how to do it, where to do it and who will be doing it. It is the first and primary step in the managerial function, bridging the present and the future desired status.

Explanation

Planning provides a forward-looking approach that helps organizations design an effective environment for performance. It ensures effective utilization of limited resources, gives consistency in actions toward desired goals, and offers a structured way to respond to environmental uncertainties such as competition, customer demands, and technological changes. Plans can be categorized by breadth (strategic vs. tactical), time frame (long-term vs. short-term), specificity (directional vs. specific), and frequency of use (single-use vs. standing). Strategic plans set general guidelines for resource allocation and competitive advantage over an extended horizon, while tactical plans implement specific parts of a strategic plan with a shorter time horizon and more concrete actions. Directional plans are flexible and provide general guidelines without binding managers to specific actions, whereas specific plans are clearly defined with no ambiguity. Single-use plans address unique situations once, whereas standing plans (e.g., recruitment policies, disciplinary action policies) provide ongoing guidelines for repetitive activities.

Example

An organization that intends to enter a new market may develop a tactical plan that decides whether to tie up with local partners, hire local employees, and adopt a cost-minimization or innovation strategy. This tactical plan translates the strategic goal of market entry into concrete actions such as workforce hiring, facility setup, and incentive design. Standing plans such as recruitment policies or disciplinary action committees serve as long-term, ongoing guidelines that help decision-making in repetitive activities.

Key points

- Planning is the first step in management, enabling resource optimization and goal consistency.
- Plans are classified by breadth, time frame, specificity, and frequency of use.
- Strategic plans set broad, long-term directions; tactical plans implement specific parts of those strategies.
- Directional plans are flexible; specific plans are clear and unambiguous.
- Single-use plans address unique situations once; standing plans provide ongoing guidelines for repetitive activities.

Setting objectives

Definition

Setting objectives is the first step in the planning process where an organization defines specific, measurable goals that it intends to achieve.

Explanation

Objectives guide the organization's actions by specifying what it wants to accomplish, how it will obtain those results, and what operations or methods will be used. They must be measurable in units, cover the main features of the job, and be verifiable at the end of the period. Guidelines such as checking for relevance, length, quantity, quality, timeline, cost, challenge, and priority help managers ensure objectives are realistic and attainable.

Example

Nokia set an objective to sell 2 lakh units of phones by next year, a target that was double the current sales. This objective was then delegated to all departments to achieve the final organizational goal.

Algorithm / Steps

1. Define the specific objective of the organization, including the type (service, product, etc.).
2. Ensure the objective is measurable in units or other quantifiable terms.
3. Verify that the objective covers the main features of the job or task.
4. Check if the list of objectives is too long; combine where possible.
5. Mark a tick or cross to indicate whether each objective is acceptable.
6. Confirm the objective specifies quantity, quality, timeline, and cost.
7. Assess whether the objective is challenging yet realistic.
8. Assign priority or weightage to each objective.
9. Include improvement or personal-development objectives if applicable.

Key points

- Objectives must be specific and measurable.
- They should be verifiable and aligned with the organization's purpose.
- Guidelines such as relevance, length, quantity, quality, timeline, cost, challenge, and priority help refine objectives.
- Delegation of objectives to departments and individuals ensures collective attainment of the overall goal.

Policies

Definition

Policies are general statements or guidelines that help in decision making and provide a framework for actions within an organization.

Explanation

Policies serve as overarching directives that guide managers and employees in making consistent decisions. They are part of standing plans, which are ongoing plans that provide guidelines for activities performed repetitively, including policies, rules, and procedures.

Example

An example of standing plans that include policies is the policies of recruitment, the policies of disciplinary action committees, and policies for improving sexual harassment.

Key points

- Policies are general statements or guidelines that help in decision making.
- Policies are part of standing plans that provide ongoing guidelines for repetitive activities.
- Policies are included in programs, which consist of goals, policies, procedures, rules, and tasks.

Planning premises

Definition

Planning premises are the anticipated environment in which plans are being executed, plans are expected to operate and environmental forecasting includes values and areas of forecasting, forecasting with Delphi technique.

Explanation

Understanding and fair assessment of planning premises is necessary for effective planning. For planning to be perfect the assessment of environment or the planning premises need to be discussed in detail. Such events are assumptions on the basis of which plans are drawn and are known as planning premises. Environmental assessment is very important; without it there are chances of the business not being fruitful. Planning premises are external factors that may adversely influence the overall objective of an organization if ignored.

Example

Nokia’s objective of selling 2 lakh units of phones is based on the premise of favorable government policies towards digitization of transactions. The company also considers alternative courses such as reducing cost, increasing advertising, and improving after-sale service.

Algorithm / Steps

1. Identify opportunities in the business.
2. Establish goals or objectives.
3. Develop planning premises.
4. Determine alternative courses of actions.
5. Evaluate alternative courses.
6. Select a course and formulate plans.
7. Quantify plans by budgeting.
8. Implement the plans and follow-up actions.

Key points

- Planning premises are assumptions about the external environment that affect plan execution.
- They must be assessed thoroughly to avoid chaos and achieve organizational goals.
- Nokia uses planning premises such as government policies to set sales targets.
- The planning process includes developing premises as a distinct step.

Strategic Management

Definition

Strategic management involves developing strategic plans that outline decisions about resource allocation, priorities and action steps necessary to reach strategic goals.

Explanation

Strategic plans are set out by the board of directors and top management, generally have an extended time horizon and address questions of scope, resource deployment, competitive advantage and synergy. Tactical plans implement specific parts of a strategic plan and are more concrete and short-term.

Example

For example, an organization that intends to grow in a particular market may ask: what is the scope of venturing in that market? How many resources, budget, manpower to allocate? Which competitive strategy—cost or innovation—to adopt? What are the core strengths to be leveraged?

Algorithm / Steps

1. Evaluate alternative courses of action—consider positive and negative aspects in light of objectives.
2. Select the best alternative—most profitable, viable, minimal negative impact.
3. Implement the plan—communicate to employees, allocate resources, organize labor, purchase machinery.
4. Monitor the plan—follow up, take feedback regularly to ensure plan moves in right direction.

Key points

- Strategic plans are developed by top management to achieve long-term goals.
- Tactical plans translate strategic plans into concrete, short-term actions.
- Planning involves evaluating alternatives, selecting the best, implementing, and monitoring.
- Effective planning ensures optimal use of limited resources and consistency in action.
- MBO can be part of strategic management by aligning individual objectives with organizational goals.

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Planning Tools and Techniques

Definition

Planning is an intellectual process through which managers lay down an organization's objectives and develop various courses of action to achieve those objectives, focusing on both means and ends. It is a continuous, forward-looking function that helps an organization move sequentially toward a desired objective.

Explanation

Planning provides direction, reduces uncertainty, avoids overlapping activities, optimally utilizes resources, facilitates decision making, and establishes standards for control. It is pervasive across all managerial levels and departments, enabling the organization to anticipate and prepare for future conditions.

Example

During the COVID-19 crisis, many organizations could not predict the sudden emergence of a pandemic, which disrupted plans for new businesses, plant setups, and manpower allocation. The uncertainty caused by such events made forecasting decisions less accurate.

Key points

- Planning is a continuous, forward-looking intellectual process that sets objectives and courses of action.
- It reduces uncertainty, optimizes resource use, and facilitates decision making.
- Forecasting is a basis for planning, using systematic data analysis to predict future conditions.
- Tools for planning include environmental scanning, budgeting, scheduling, linear programming, breakeven analysis, contemporary planning techniques, and scenario planning.
- Forecasting methods are divided into quantitative (mathematical rules on past data) and qualitative (judgment of experts) techniques.
- Technological and demand forecasting help anticipate changes such as online teaching platforms and product demand, respectively.

Decision making steps and process.

Definition

Decision making is the process by which managers select among alternatives to achieve objectives.

Explanation

Decision making is influenced by perception, biases, and shortcuts; effective decisions require consensus and employee involvement.

Example

The blind men and elephant story illustrates how different perceptions can lead to varied interpretations of the same reality.

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Algorithm / Steps

1. Identify opportunities while planning.
2. Establish goals or objectives.
3. Develop premises.
4. Determine alternative courses of action.
5. Evaluate alternative courses.
6. Select a course.
7. Formulate plans.
8. Quantify plans by budgeting.

Key points

- Planning is a primary function that helps an organization move toward desired objectives.
- Decision making involves selecting among alternatives and is affected by perception and biases.
- Consensus and employee involvement enhance the effectiveness of decisions.
- The planning process includes identifying opportunities, setting goals, evaluating alternatives, and budgeting.

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